

Numbers track: prompts 1 and 2

The Home Depot, fiscal years ended January 2023 to February 2026, with the fourth quarter. Prompt version 2.10, run 3 October 2026 in one conversation on the statements workbook, two annual reports and two results releases. Test output: a real company used for testing only.

Step 1: scan the numbers

Measure	FY2022 (to Jan 2023)	FY2023 (to Jan 2024)	FY2024 (to Feb 2025, 53 weeks)	FY2025 (to Feb 2026)	Q4 FY2024 (14 weeks)	Q4 FY2025 (13 weeks)	Industry
Days sales outstanding	7.7	7.9	11.4	12.4	12.1	13.3	
Days inventory	86.6	75.1	81.9	85.6	86.2	91.3	
Days payable	39.8	35.9	41.7	38.1	43.9	40.6	
Receivables growth less revenue growth (pts)		+3.3	+42.8	+10.9	+33.2	+17.9	
Inventory growth less cost-of-sales growth (pts)		-12.9	+7.4	+6.7	-2.8	+13.6	
Payables growth less cost-of-sales growth (pts)		-9.5	+14.5	-7.1	+4.4	-0.2	
Gross margin (%)	33.5	33.4	33.4	33.3	32.8	32.6	34.2
Operating margin (%)	15.3	14.2	13.5	12.7	11.3	10.1	11.9
Accruals (% of average assets)		-7.9	-5.8	-2.2			
Free cash flow vs net income (\$m)	11,496 vs 17,105	17,946 vs 15,143	16,325 vs 14,806	12,646 vs 14,156			
Depreciation rate (%)			7.44	7.38			
Beneish M-score (vs prior year)		-2.80	-2.12	-2.42			
Receivables / sales (%)	2.1	2.2	3.1	3.4			2.8
Inventory / sales (%)	15.8	13.7	14.7	15.7			16.8
Payables / sales (%)	7.3	6.6	7.5	7.0			9.4
Capital spending / depreciation (x)	1.13	1.07	1.06	1.07			1.2

Cost line: cost of sales. Days use 364 per year (371 in FY2024, a 53-week year) and 91 or 98 per quarter; depreciation and gross depreciable assets come from the property note, and both fourth quarters come from the results releases because the spreadsheet marks its fourth-quarter cash flow columns mixed basis.

Flags

- 1. Receivables outgrew revenue.** Receivables rose 14.2% in FY2025 against revenue up 3.2%, after 47.3% against 4.5% in FY2024; days went 7.9 to 11.4 to 12.4, and sit at 3.4% of sales against 2.8% for the industry. Acquisitions took \$17,644m of cash in FY2024 and \$5,410m in FY2025.
Size: 2.4% of FY2025 pre-tax income, using the excess balance at FY2024 days (\$438m). Run: three years; two same-quarter comparisons (8.7, 12.1, 13.3 days).
- 2. Cash flow fell behind earnings.** Operating cash flow fell 17.6% in FY2025 while net income fell 4.4%; free cash flow went from 1.19 to 1.10 to 0.89 times net income, and accruals from -7.9% to -5.8% to -2.2%.
Size: 8.1% of pre-tax income, using the gap between free cash flow and net income (\$1,510m). Run: two years.
- 3. Inventory outgrew cost of sales.** Inventory rose 10.1% in FY2025 against cost of sales up 3.4%; days went 75.1 to 81.9 to 85.6, and 86.2 to 91.3 in the fourth quarter. The FY2025 acquisition spending could explain part.
Size: 5.9% of pre-tax income, using the excess balance at FY2024 days (\$1,102m). Run: two years.

- 4. Operating margin kept falling.** 15.3% in FY2022, then 14.2%, 13.5% and 12.7%, with gross margin flat near 33.3%; the fourth quarter went 11.3% to 10.1%.

Size: 7.2% of pre-tax income, using the FY2025 margin decline times FY2025 sales (\$1,334m). Run: three years; two same-quarter comparisons.

- 5. Payables fell while cost of sales grew, and sit below the industry.** Payables fell 3.7% in FY2025 against cost of sales up 3.4%; days went 41.7 to 38.1, and payables are 7.0% of sales against 9.4% for the industry. This overlaps flag 2.

Size: 5.9% of pre-tax income, using the shortfall against FY2024 days (\$1,090m). Run: one year, reversing FY2024's rise.

Revised figures: none moved income or equity; the four later changes are reclassifications (intangible assets of \$3,606m split out of other assets at January 2024, and intangible amortization of \$179m, \$186m and \$52m split out of depreciation on the cash flow statement).

Not calculated: the allowance as a share of gross receivables (both annual reports say only that it was not material); the depreciation rate before FY2024 (no gross property balance for January 2023); fourth-quarter accruals and free cash flow (the releases give cash flow for the full year only); FY2022 growth gaps, accruals and M-score (no balance sheet before January 2023).

Step 2: follow the flags

Inventory rose 10.1% against cost of sales up 3.4% (whole company)

- **The company says:** inventory turnover fell from 4.7 to 4.4 times, "primarily driven by higher average inventory levels" (annual report to Feb 2026, p. 32), which restates the movement without giving a reason. Last year: different, turnover rose on "lower average inventory levels within our Primary segment" (annual report to Feb 2025, p. 32).
- **Test:** of the \$2,366m rise, inventory that came with GMS is \$568m (24%) and the build on the cash flow statement is \$1,498m (63%); the 4.4 and 4.7 turns reproduce from five-quarter average inventory. The acquisition covers a quarter and the build has no stated reason, so the explanation partly holds.
- **Reading:** can't tell from these documents, possibly ordinary: the report mentions "increased costs as a result of tariffs" (p. 32) but does not tie them to inventory. A build sitting in the Primary segment, where sales fell 0.7% (52 weeks against 53), would point to the business weakening.
- **Read next:** merchandise inventories in Note 1 (p. 49) and the auditor's critical audit matter, which changed from "Estimation of store shrink" (annual report to Feb 2025, p. 42) to "Sufficiency of audit evidence over certain merchandise inventories" (annual report to Feb 2026, p. 41).

Payables fell 3.7% against cost of sales up 3.4% (whole company)

- **The company says:** working capital moved on "the timing of vendor payments" (annual report to Feb 2026, p. 37). Last year: the same words with the opposite sign, "partially offset by the timing of vendor payments" (annual report to Feb 2025, p. 38).
- **Test:** payables fell \$447m, or \$827m before the \$380m that came with GMS; supplier finance obligations fell \$184m (41% of the fall) as invoices confirmed fell 14.5%. Timing itself cannot be tested from these documents, so the explanation partly holds.
- **Reading:** most likely ordinary: paying suppliers sooner uses cash but does not lift income. Shorter terms set by suppliers, or a finance program cut back by its banks, would point to the business weakening.
- **Read next:** the supplier finance program in Note 1 (p. 51), and the next first-quarter cash flow, where a timing effect should reverse.

Operating margin fell from 13.5% to 12.7% (whole company)

- **The company says:** selling and administrative costs rose on "higher payroll and related costs" and "a non-recurring legal-related benefit recognized during fiscal 2024" (annual report to Feb 2026, p. 34), with no amounts. Last year: similar, payroll and "lower legal-related benefits" (annual report to Feb 2025, p. 34), so a legal benefit sits in both prior years.
- **Test:** of the 0.81-point fall, the larger share of lower-margin SRS and GMS sales accounts for 0.39 points (48%) and the Primary segment's own margin, 13.9% to 13.5%, for 0.35 points (43%); the payroll and legal amounts behind the second part are not given. So the explanation partly holds.
- **Reading:** most likely the business weakening: Primary-segment selling and administrative costs rose 3.8% while its sales fell 0.7% (52 weeks against 53), in the third straight year of margin decline. A large fiscal 2024 legal benefit would mean that year was flattered and the underlying fall is smaller.
- **Read next:** the segment table in Note 2 (p. 55) and commitments and contingencies in Note 12 (p. 73).

The other flags

- **Cash flow fell behind earnings:** "primarily due to changes in working capital" (annual report to Feb 2026, p. 37); the swings in payables, inventory and taxes payable total \$3,838m against a \$3,485m fall in operating cash flow (110%), the taxes-payable swing, which the report ties to a deferred fiscal 2024 tax payment, alone being 43%. Holds; most likely ordinary timing.
- **Receivables outgrew revenue:** no reason given this year; last year, "primarily as a result of the SRS acquisition" (annual report to Feb 2025, p. 48). GMS brought \$899m of receivables (p. 74) against a \$694m rise (130%). Holds; most likely ordinary.

Adjusted earnings: adjusted diluted earnings per share were \$14.69 against \$14.23 reported in fiscal 2025 (gap \$0.46, 3.2%) and \$15.24 against \$14.91 in fiscal 2024 (gap \$0.33, 2.2%). The only adjustment in both years is "amortization expense from acquired intangible assets" (results release to Feb 2026, p. 8), \$607m and \$425m; neither release uses the words non-recurring, one-time or unusual.

Changes in estimate that lifted income: none disclosed, and useful lives are the same in both reports. One estimate did move in income's favor without a stated effect: the cost of a 10% rise in the shrink rate fell from "approximately \$95 million" (annual report to Feb 2025, p. 39) to "approximately \$79 million" (annual report to Feb 2026, p. 39), implying about \$160m less estimated shrink (0.9% of pre-tax income) while inventory rose 10.1%. Both reports credit "lower shrink" for gross margin (p. 34 of each), and neither gives a reserve balance to test it.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.